Forecasting method FARFIMA(1,1,0) Plugin forecast **Sample size T** 500 1000

FARFIMA(1,1,0)

FARFIMA(0,1,1)

FARFIMA(2,1,0)

FARFIMA(1,1,1)

$\psi = 0.2$ $\psi = 0.5$ $\psi = 0.8$ $\nu = 0.2$ $\nu = 0.5$ $\nu = 0.8$

Empirical coverage probability

1.00 0.95 0.90 0.85

1 2 3 4 5 6 7 8 9 10

Forecast horizon h